

3.1.5 Government Intervention in the Market

Rationale for Government Intervention

Candidates should understand the reasons for government intervention in markets.

Methods of Government Intervention to Correct Distortions in Individual Markets

Candidates should be able to use basic economic models to analyse and evaluate the use of indirect taxation, subsidies, price controls, buffer stocks, pollution permits, state provision and regulation to correct market failure.

Government Failure

Candidates should understand that government failure occurs when government intervention in the economy leads to a misallocation of resources.

Candidates should appreciate that government intervention in the economy, for example to try to correct market failure, does not necessarily result in an improvement in economic welfare. Governments may create, rather than remove, market distortions.

Inadequate information, conflicting objectives and administrative costs should be recognised as possible sources of government failure.

The Impact of Government Intervention on Market Outcomes

Candidates should be able to apply economic models to assess the role of markets and the government in areas such as health care, housing, agriculture and the European Union's Common Agricultural Policy (CAP), transport and the environment.
